

APPROPRIATION BILL 2026-2027

SECOND READING SPEECH

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PRESIDENT AND

MINISTER FOR FINANCE AND SUSTAINABLE DEVELOPMENT

MONDAY, 20 JULY 2026

Mr. Speaker Sir, I present before Parliament the Appropriation Bill 2026–2027.

Mr. Speaker, Honourable Members, on behalf of the Government, it is an honour for me to present to this House the Budget for the financial year 2026-2027.

Similar to the last two financial years, this budget is presented under unusual circumstances. Additional time was required to finalize the budget as several departments underwent extended review sessions to thoroughly refine their proposals. Some departments were specifically challenged to modernize their mandates and align their annual operational plans with today's realities.

The Supply Bill 2026 was enacted to ensure government operations continued seamlessly while these details were finalized. The Supply Bill 2026 has served its purpose, and we are now able to propose the 2026-2027 budget and appropriation bill to the Parliament.

The Theme: A Blueprint for Ambition

Mr. Speaker, a national budget is more than a ledger of accounts; it is a blueprint for national ambition. This year, our ambition is clear: to translate unprecedented fiscal strength into enduring national prosperity.

We understand that a majority of our revenue remains dependent on external factors, meaning there is currently no long-term, internally generated stability. Therefore, the theme for this year's Budget is: **"Capitalising on the Current High Revenue Environment: Investing in the People and a Productive Future"**.

State of the Economy

Mr. Speaker, the nation is operating from a position of profound fiscal strength. Our steady economic management has earned international recognition. The International Monetary Fund (IMF) mission noted in their Article IV consultation

report last September that the Government of Naoero has made significant strides in restoring economic stability, despite the significant structural challenges we face owing to our remote location and small size. They pointed to our close collaboration with development partners to improve infrastructure, ensure reliable access to banking services, and secure multi-year donor support. They warmly welcomed our commitment to fiscal prudence, our compliance with fiscal responsibility ratios, and our sustained contributions to the Intergenerational Trust Fund.

However, the road ahead requires deep pragmatism. In January 2027, Naoero is set to graduate to a high-income country. While this milestone is a testament to our sustained economic growth, it will inevitably shift the dynamics of resources available to us from traditional donor spaces.

Furthermore, despite strong top-line revenue, our economy is not immune to external shocks, particularly in a global environment marred by heightened policy uncertainty. The conflict involving Iran that commenced in late February 2025 has driven global oil prices upward. While some form of agreements has been signed between the parties, it is our understanding that the situation remains highly precarious. It is a fragile environment that can easily regress, and any prolonged instability will continue to exert fiscal pressure by escalating domestic inflation.

The current economic period presents a rare and finite window of opportunity. This guaranteed revenue must be treated not as a permanent luxury, but as a crucial point of leverage. We must take full advantage of this prosperity now to aggressively invest in human capital, and to funnel funding into high-producing infrastructure and commercial ventures. By doing so, the high income of today will build the self-reliance of tomorrow.

Macro-Economic Stability and PFM Reform

Mr. Speaker, good governance is the bedrock of economic security. Managing funds is only part of the equation; the architectural framework of our financial system is undergoing active modernization.

The 2026–2027 Budget recognizes expected revenue of \$359.2 million, which is at a slightly similar level as last the FY 2025–26 approved budget—and appropriates expenditure of \$359 million, leaving a \$0.2 million surplus balance.

The Government understands that it must remain cautious about spending during this high-revenue environment. We take note of the IMF's recommendation that fiscal policies should pivot toward restraint, avoiding procyclical measures to bolster resilience. We will balance these recommendations with the development needs of our people, recognizing that our small size and population impose significant structural and institutional factors that constrain our economic policy choices.

To guarantee sustainable growth within these bounds, we maintain a strict commitment to three key fiscal responsibility ratios:

- Maintaining a positive budget balance.
- Keeping personnel costs below 30 per cent of total expenditure.
- Holding a liquidity cash buffer of at least two months of non-RPC related expenditure.

Accumulating savings in the trust fund to reach target levels by 2033 remains our key long-term fiscal anchor.

The budget includes measures to improve the Republic's balance sheet through long-term savings in the Nauru Intergenerational Trust Fund and reducing government debt. In 2026-27, the government will contribute 10.1 per cent of adjusted revenue to the Trust Fund, or \$24.3 million. **\$2 million** has been prepaid in the last financial year, 2025-26, leaving the balance of **\$22.3 million** to be settled in 2026-27.

This fiscal anchor is further reinforced by our commitment to capitalize Fund 2, ensuring our secondary reserves are adequately structured to protect the nation against future contingencies.

\$1 million has been allocated toward Bank of Nauru debt repayments, continuing the past financial years BoN allocation with the view to clear off the remaining balance of \$4.3 million by 2030-31.

To responsibly deploy our remaining resources, the priority of this Budget is clear from the outset: we are actively directing this capital into education, productive infrastructure, the maintenance of essential public services, and fortified social safety nets.

Modernizing our Financial Infrastructure and Debt

To unlock future access to international donor and market financing, our institutional framework is being fundamentally transformed. The newly enacted Debt Act and Finance Instruction on Liabilities are rolling out, modernizing our debt management practices and enabling the Government to firmly manage fiscal exposures across government and public enterprises.

Significant milestones have been achieved in improving our debt standing:

- **Bank of Naoero Liquidation:** Shortly before the passage of the Bank of Nauru Repeal Act, Treasury—with technical assistance from the Asian Development Bank—undertook a final validation of public claims. Consequently, the outstanding debt balance was successfully reduced from \$18 million to \$4.3 million.
- **Airlines Loan Settlement:** In May this year, the Government fully settled the remaining balance of the Naoero Airline Replacement Program loan with EXIM Bank, totalling USD 9.4 million or AUD 13.5 million utilizing windfall revenue ~~from the Third Country Resettlement Arrangements, which was a highly effective use of funds.~~

These two major debt reductions, combined with the RONWAN Capital redistribution in FY 2024–2025, have dramatically reduced Naoero's Debt-to-GDP ratio from 12.5 per cent in 2025 to a mere 2.3 per cent.

However, we cannot be complacent. Even though the Government is now eligible to tap into concessional loan facilities with the ADB and there are offers from other institutions, the Government will maintain its strict stance of a balanced budget, ensuring no borrowings are taken to finance operational expenditures. We must live within our means, and our improved revenue situation gives us every reason to do so. The new Debt Act is critical—it ensures a modern framework to address legal gaps and backstop against fiscal risks.

As required under the Act, the budget includes a new short to medium term debt management strategy that outlined our approach to borrowings and outlines guardrails, such as setting the lowest acceptable level of risk that we need to comply with. Consistent with the strategy, moving forward, any new borrowings will only be considered where the financing is highly concessional in nature reaching 35% concessional, directed toward a transformative project, and backed by a strong business case that demonstrates a high likelihood of

repayment. In essence, the golden rule applies: borrowings will only be considered to finance investments toward capital and essential infrastructure programs to fuel economic growth and employment.

Public Financial Management (PFM) reforms are advancing steadily to enhance our institutional capacity, ensure operational efficiency, and bolster international confidence in our national systems. In this regard, the Government is on the verge of completing the final milestones under the Asian Development Bank's Improving Fiscal Sustainability Program, Subprogram 2. This program has driven critical institutional reforms aimed at tightening debt management, upgrading the governance of our State-Owned Enterprises, and ensuring targeted, fiscally responsible support for vulnerable segments of our society, with a meaningful focus on empowering women.

Our Department of Finance along with relevant implementing agencies are currently finalizing the remaining administrative milestones. Upon completion, the ADB will disburse USD 5 million to the Treasury, complemented by valued co-financing from the New Zealand Government of an additional AUD 1.5million. We extend our sincere gratitude to our development partners for recognizing the credibility of our reform agenda. Looking ahead, the next ADB Policy-Based Lending program will soon be finalized to further fortify our national governance frameworks, ensuring we keep the momentum going from Subprograms 1 and 2.

Revenue Estimates and Diversification

Mr. Speaker, I will now highlight the key revenue estimates in this budget.

Since November 2023, deliberate and decisive measures have been implemented to secure our economy.

The Treaty signed in December 2024 continues to provide structural stability, securing certainty for our multi-year Regional Processing Centre (RPC) revenues and our broader budget support. Alongside this, the recently signed TCRA—established under an MOU with the Department of Home Affairs (DHA), Australia—guarantees additional long-term budget assurance. Building on the economic baseline established last financial year, these combined bilateral agreements make our overall revenue projections straightforward and reliable.

Together, these Bilateral Hosting Arrangements remain our most significant revenue source, accounting for \$208.2 million, or 58 per cent of the total budget. This revenue is comprised of two main components:

- Regional Processing Centre (RPC) – \$151.7 million: This figure is lower than the last financial year. The variance is primarily due to shifting cash flow timing resulting from changed accounting procedures by DHA, alongside a more conservative estimate for the variable fee component.
- Third Country Resettlement Arrangements (TCRA) – \$56.5 million: This revenue consists of the remaining six months of TCRA operational fees for the first year, the annual operational support fund, and the program capability delivery fund tied to our operational bands. Additionally, it incorporates a partial interest drawdown from the TCRA hosting endowment fund from the Trust Fund 2, reflecting the continued prudent management of these strategic resources.

Beyond our hosting arrangements, the remainder of our revenue is drawn from key domestic sectors and international partnerships:

- Fishing Licences – \$49.2 million (14%): Our second largest contributor to revenue. Fisheries revenue has reduced slightly in this budget compared to the last financial year, as we are not expecting a repeat of last year's one-off collections.
- Grants, Dividends, and Other Financing – \$33.3 million (9%): This category includes \$31.5million in essential budget support from the Government of Australia, under our bilateral Treaty, alongside an \$8.5 million Policy-Based-Grant financed by the Asian Development Bank (\$7 million) and co-financed by the Government of New Zealand (\$1.5 million). To further insulate our economy, the ADB is providing an additional \$3 million specifically to support emergency response actions during the ongoing global fuel crisis. State-Owned Enterprise returns include \$1.8 million in anticipated dividends from CENPAC Corporation and \$0.2 million from Eigigu Procurement Limited (EPL).
- Custom duties are expected to be at a slightly higher level than last financial year at \$21.6 million (6%) reflecting better business environment and tighter collection strategy through the use of the Aycusa system.

- Non-Tax Revenue – \$19.4 million (6%): This comprises various government fees, fines, and penalties. A significant driver in this category is the \$9 million projected from our Citizenship by Investment program.
- Visa Fees – \$2.7 million (1%): Rounding out our major revenue streams, visa collections account for the final 1 per cent of our total budget revenue.

Economic Diversification

Beyond these bilateral agreements, our economic horizons are expanding to generate new sovereign wealth and diversify our financial foundations:

- The Citizenship by Investment program, under the Naoero Economic and Climate Resilience Investment Program (NECRIP), establishes new revenue streams. Completed its first full year of operations in the 2025–2026 financial year, the Program Office received 103 applications, averaging approximately 9 applications per month. At the close of June, total funds received reached \$3.7 million against a total budget of \$9 million. 52 have been approved and 9 rejected, with the remainder still being processed or withdrawn. Securing \$3.7 million in the first full year is a major achievement for a completely novel commercial undertaking. During the last financial year, we introduced strategic discounted pricing. This along with our efficient back-office due diligence verification, immigration and approval process, has boosted our market competitiveness. This program will grow from strength to strength, soon becoming a core alternative revenue source for the Republic on par with—and potentially exceeding—Fisheries revenue within the next three to five years.
- The Command Ridge Virtual Asset Authority positions Naoero as a secure regulator of virtual assets, enforcing strict due diligence and legal frameworks to capture future revenue while limiting sovereign risk. In this budget, we are investing **\$4 million** to fully operationalize CRVAA because we understand that to make money, first you need to spend money. This allocation will cover a full team required for the establishment of a regulatory function of this scale and nature.
- Discussions continue to finalize Ronphos commercial arrangements to scale up mining and phosphate production, eyeing potential external funding given the scale of the investment.

- Operationalization of the deep-sea mining Sponsorship Agreement between TMC and Naoero will continue, utilizing existing financial benefits from NORI for in-country capacity building. Government through NSMA will continue to push for the granting of mining licenses by the International Sea-bed Authority and with the agreement signed last year with TMC, it has given us another channel to pursue if the ISA continues to drag their feet.
- In the new financial year, a Customs tariff review is underway to diversify our domestic revenue base by increasing excise and duties on "sin goods"—specifically cigarettes, vapes, and sugary products. This initiative aims to simultaneously improve national health outcomes. This policy is paired with a Customs modernization agenda for the year ahead, which includes plans to procure advanced X-Ray scanning machines and the proposed construction of a new seaport Customs facility.

Expenditures

I will now turn to Expenditures.

Cost of Living and Social Safety Nets

Mr. Speaker, economic strength means little if it is not felt at the kitchen table. The Government is determined to insulate Nauruan households from the ongoing volatility of global markets.

The global fuel crisis remains a heavy burden. While immediate countermeasures have provided a short-term shield, we are committed to actively protecting our citizens through the following targeted interventions:

- \$3.5 million as a buffer allocation to subsidize volatile fuel costs over the course of the year.
- \$0.7 million in fuel crisis support to the Nauru Utilities Corporation. This ensures the Lifeline Household electricity tariff is maintained at the existing level of 200 kWh, preventing a drop to 150 kWh.
- Building resilience against natural disasters remains an absolute imperative for sustainable growth, driving our investment into the new sovereign disaster risk insurance policy secured with PCRIC.

Mr. Speaker, the new financial year will be the first full year of the revised pension rates introduced during the Truuk Memorial event last year. This

Government firmly believes that the elderly members of our community deserve a dignified income to support them comfortably in their later years, ensuring they have the financial security to cope with the rising cost of living on the island. The updated pension structure which will continue through the new financial year and beyond is as follows:

- Aged 60–69: \$400.
- Aged 70–74: \$500.
- Aged 75 and above: \$600.
- Our 'Young at Heart' (Returnees from Truuk): \$1,000, alongside discounted water and electricity rates.

To guarantee that these systems serve our people effectively, we are actively modernizing our broader social protection frameworks. The Asian Development Bank (ADB) has recently undertaken a review of our 5 social protection programs. We will utilize these recommendations in strict alignment with our local Nauruan context to improve our cash allowance structures, ensuring that future benefits are accurately targeted, sufficient for our citizens' needs, and fiscally sustainable.

Housing remains a cornerstone of family stability and national resilience. To support our communities, an allocation of **\$1.6 million** will fund vital infrastructure investments for the Redzone program, enabling the Department of Infrastructure to continue its critical work in driving the construction of these new permanent homes to completion. Recognizing the transitional needs of these families, an additional **\$1.1 million** is allocated to secure temporary rental housing, ensuring stable accommodations for Redzone households while their permanent dwellings are being built.

Education

Mr. Speaker, true national wealth is not measured in trust funds alone, but in the capability, intellect, and vitality of our people.

For many years, Education has consistently received Nauru's highest sectoral allocation, representing the largest per capita investment in education in the Pacific region. In this budget, we are maintaining this commitment—continuing the core programs implemented by the Department of Education while making targeted adjustments based on the lessons we have learned over the past year.

A key success from the last financial year has been the Re-Engagement Program, which brings out-of-school youth aged 18 and under back into the learning fold. By providing structured after-school learning opportunities focused on foundational literacy and numeracy, we are successfully guiding these young people back into the formal education and training environment. We are continuing this vital collaboration in the new financial year between the Department of Education, the Department of Women's and Social Development Affairs (WASDA), and the Department of Vocational Training and Professional Development (VTPD).

To support these critical efforts, Mr. Speaker, we are investing a total of **\$20.5 million** in the Education sector for the 2026–2027 financial year. Key measures within this allocation include:

- **\$0.7 million** to upgrade school infrastructure and fund essential classroom repairs, including urgent fencing work and the construction of a new three-classroom building dedicated to students in our re-engagement program.
- **\$0.4 million** to roll out the Amen Karoe program to additional schools, building on its successful pilot phase at Nauru Secondary School.
- **\$85,000** to pilot artificial intelligence integration and digital learning platforms. This initiative aims to boost classroom learning outcomes while relieving our teachers of administrative burdens, allowing them to focus on direct, high-value student engagement.
- **\$15,000** targeted financial incentives to encourage Nauruan tertiary students from the upcoming calendar year's scholarship cohort to enter the teaching profession upon graduation, directly addressing the shortage of qualified local teachers.
- **\$0.4 million** to continue the Numeracy and Student Attendance re-engagement program, split between covering direct teaching costs under the Department of Education and community-level awareness campaigns led by WASDA.
- **\$2.5 million** is allocated to the VTPD to support continuous learning outside of school, expand practical and skills-based pathways for our workforce. VTPD with donor support from the Government of Australia, is offering online programs through TAFE Queensland that will meet industry needs and create employment pathways. Majority of the VTPD

programs in the last financial year as a result of twinning support with the Department of Multi-Cultural Affairs under the Alternative Pathway program funding. DMA is still in negotiations with Australia regarding the extension of the APP arrangement and more details will be known in the coming weeks.

Admittedly, Mr. Speaker, we still have a long road ahead to overcome high truancy rates and turn around the poor academic results of recent years. This is not a challenge Government can solve alone—it requires a uniquely Nauruan approach where policymakers, schools, and families work hand-in-hand. We remain completely open to any effective suggestions to improve the standard of education for our children.

But progress requires honesty. While we are funding new measures, we must have the courage to completely abandon existing approaches that have failed to deliver results. For this reason, the Government has made the necessary decision to discontinue both the NEAT scheme, introduced in 2014, and the Back-to-School (BTSS) initiative, launched in 2020. Both schemes were initially designed as conditional financial incentives. The objective was to link cash support to regular attendance, nudging household behavior toward valuing consistent schooling. While international evidence shows that well-enforced attendance conditions can successfully reduce dropout rates and shift community norms, Nauru's experience fell significantly short.

Unfortunately, largely due to data gaps and heavy administrative burdens, the vital conditions of these schemes were never effectively enforced. The BTSS, for instance, explicitly required an 80 per cent attendance rate—a rule ignored since its inception. Alarming, in one of the recent payouts, over 20 per cent of registered BTSS students had zero attendance, yet still received payments. This total lack of enforcement fundamentally undermines the incentive effect. Without accountability, the intended social shift—making daily school attendance the absolute default for every Nauruan child—simply cannot occur. We can no longer afford to fund the illusion of progress. Moving forward, this Government will ensure that our social investments demand real compliance, driving the tangible outcomes our students deserve.

Health and National Well-being

Mr. Speaker, a thriving economy demands a thriving, active population. Data from the 2024–25 Household Income and Expenditure Survey (HIES) revealed important statistics regarding our national health and dietary realities:

- Energy consumption sits at 2,349 kcal per person daily, exceeding the WHO minimum threshold of 2,100 kcal.
- A high reliance on purchased food (87%) heavily dictates our national diet, driving a reliance on processed imports and exposing our households to external price shocks.

In response to these findings, the Government is prioritizing food security and nutritional health. We are actively working with our partners to promote local agriculture to reduce our reliance on imported goods, and expanding targeted social assistance to ensure healthier food options remain accessible to all Nauruans. The Government is working with partners to rehabilitate the Menen Farm. Scaling up domestic production of fresh vegetables is a direct, practical measure to support healthier diets and tackle Non-Communicable Diseases (NCDs) at their root.

Our healthcare system has undergone a significant transformation. The outsourcing of services to our private provider, GMSS, has brought clear improvements—modernizing clinical services and broadening the medical care available to our people.

Admittedly, a transition of this magnitude presents operational challenges, particularly regarding staffing and the precise scope of contracted services. To address this, the Government is finalizing critical updates to the GMSS contract. These refinements will firmly align the agreement with the Government’s expectations and ensure we achieve maximum value for money within this Public-Private Partnership.

Today, I am pleased to report that all expatriate staff from the former Health and Medical Services department have successfully transitioned to GMSS. Furthermore, we have established a clear secondment framework for local personnel.

Mr. Speaker, to safeguard these investments, the Government is establishing a new Regulatory Health Department. Its mandate is vital: to ensure strict accountability of the private provider, protect patient safety, uphold national

healthcare standards, and rigorously enforce the Health and Medical Services Act 2025.

Work is actively underway to structure this entity, realign job descriptions, and prioritize capacity building for local personnel to ensure the long-term sustainability of this important function.

Alongside regulatory oversight, we are charting a new course for Public Health. Since November of last year, Public Health has been separated from the broader GMSS scope—excluding clinical aspects—and operates as a dedicated government department. We are actively increasing the number of public health doctors and nurses to scale up robust preventative measures and systemic well-being.

To support these pillars, Health will receive a total investment of \$38,829,881 in this budget. Key allocations include:

- **\$26 million** for the Public-Private Partnership (PPP) with GMSS, ensuring immediate, high-quality treatment and care.
- **\$4.2 million** to fully resource the new Regulatory Health Department's oversight functions.
- **\$3.6 million** for Public Health.
- **\$5 million** allocated under Head 16 Finance Other for Overseas Medical Referrals (OMR), ensuring our people receive the best available care when specialized treatment is not available on-island.

Mr. Speaker, preventative health also means promoting active lifestyles. In preparation for the 11th Micronesian Games commencing on 14 January 2028, we have established the Naoero Micronesian Games Steering Committee to drive our national readiness and oversee event operations.

We are utilizing these Games to inspire national fitness and regional unity. World-class infrastructure is essential for an event of this scale. The new Menen Stadium is advancing rapidly with the generous support of the People's Republic of China, and critical works will soon begin at the Aiwo Tennis Centre with the backing of the Australian Government.

Once completed, these facilities will elevate Naoero's competitive standards and directly contribute to our vision of a truly "Healthy Island."

While our partners are doing their part, we must do ours. In this Budget, **\$3.3 million** is allocated to the Games Committee under the Department of Sports. This funding will directly support preparations, covering essential infrastructure costs, workforce mobilization, and the operational setup required to deliver a successful Games.

Building the Future: Infrastructure, SOEs, and Government Services

Mr. Speaker, to ensure a successful economic transition, the physical backbone of our future economy must be built today. These capital investments are designed to yield dividends for decades to come:

- **The Port:** Completion of the Sustainable and Climate-Resilient Port will be achieved this calendar year. Crucially, to protect this generational asset, a dedicated asset maintenance fund is being formally established, utilizing the Government's \$28 million sinking fund.
- **Energy Security:** An allocation of **\$1.5 million** covers the final milestone of the Fuel Tank Farm refurbishment to guarantee the long-term security of the national fuel supply. Additionally, the 100 per cent commissioning of the NUC 6MW solar project will be realized, which is instrumental in displacing high-cost diesel generation. To further support the grid, the Nauru Utilities Corporation is allocated a \$2.2 million, three-year interest-free loan to purchase two 2MVA generators. This will replace aging gensets and restore power stability to N2 status.
- **Connectivity:** The Australian donor-funded runway resurfacing project of **\$49.4 million** has suffered some logistical delays with the project now expected to commence in October this year. Furthermore, the operationalization of the Naoero Fibre Optic Cable is expected this financial year, providing a massive upgrade to our digital infrastructure.
- **National Assets:** Funding for our national assets prioritizes key government-backed infrastructure. Allocations include \$4.3 million for the commencement of TCRA housing project for transferee accommodation, \$1.6 million to finally complete the long-standing Canberra chancery project, \$1.1 million to finish the ongoing construction of the new government building for the Office of the President, Cabinet, and Finance, and \$0.3 million to complete remaining works on the Department of Justice and Border Control building. Plans are also progressing for the

construction of the State House. In addition to these Treasury-funded projects, we continue to advance critical donor-funded initiatives, notably the ADB urban development and water reticulation program.

State-Owned Enterprises (SOEs) are expected to operate with commercial discipline. Investments in SOEs will be strictly monitored to ensure absolute financial viability. The legislation and institutions surrounding PEs have been strengthened. We heavily acknowledge the invaluable support from Australia to continue the Technical Assistance support for PEMU, seamlessly taking over from the ADB.

This ongoing support is highly critical not only to monitor PE performance but to strengthen them with the fit-for-purpose tools required to elevate their operations to the next level. Furthermore, the robust budget performance review framework utilized over the past year will absolutely continue into this new financial year, providing a mandatory mechanism to rigorously follow up on departmental and SOE budget execution.

Support has been provided in the last financial year to Naoero Airlines, with **USD 3.5 million** investments to purchase a replacement 800-series aircraft and the full repayment of the EXIM Bank loan of **USD 9.3 million** to support the NAC Willis contract to ensure the reliability of our aviation services.

Government Services

Mr. Speaker, Nauru is a small island nation served by a single main ring road—approximately 19 kilometres long—that connects all major residential areas, essential services, schools, and government offices. Unfortunately, the size of our government vehicle fleet is vastly disproportionate to both the scale of our public service and the physical geography of our island. Within the public service alone, we maintain a fleet of approximately 300 vehicles. Assuming a workforce of roughly 1,500 officers, this equates to one vehicle for every five officers. This ratio is not only highly impractical for our road network size, but it is also completely unsustainable from a financial standpoint.

Mr. Speaker, the Government is determined to rectify this unsustainable situation. Drastic measures are required, and we are taking them. We have allocated \$4.7 million in this budget for the procurement of 14 new Electric Vehicle (EV) buses along with new charging stations to establish a reliable, modern public transport network. These buses will be purchased out of China and the supplier

arrangements are near final and will commence as soon as this budget is passed, with the view for these buses to be on island early next calendar year. Given our road system, operating 6 to 8 buses during peak hours—split evenly between clockwise and anti-clockwise routes—will allow us to maintain a highly efficient 15 to 20-minute service frequency. The remaining buses in the 14-vehicle fleet will provide the necessary buffer for maintenance schedules, battery charging rotations, and unexpected breakdowns. This investment will modernize our transit capabilities while decisively lowering the long-term capital and operational costs associated with maintaining an oversized vehicle fleet.

Beyond public transit, this Budget establishes funding for further essential government services. We will actively roll out priority initiatives dedicated to upgrading core civic administration, digitizing public records, and improving the speed and accessibility of front-line services for all Nauruans throughout the financial year.

Mr Speaker, I have outlined below key measures in the new budget:

- \$3.8 million is allocated for whole-of-government utilities. This is an increase of approximately \$1.0 million from the last financial year, reflecting NUC tariff adjustments for the government sector driven by rising imported diesel prices.
- \$0.2 million is allocated to the Chief Secretary's Department to roll out the remaining Human Resources and Planning (HRP) applications, improving the transparency, integrity, and efficiency of these services.
- \$0.1 million is allocated to the Audit Office to host the 27th Pacific Association of Supreme Audit Institutions (PASAI) Congress this August. Hosting this event brings international recognition to Nauru's Audit Department, raises public awareness around accountability, and highlights our nation's commitment to good governance.
- \$64,000 is provided to the Bureau of Statistics to undertake a mini-census ahead of the main national census in 2031. This ensures our economic policies continue to be informed by solid, up-to-date, and evidence-based indicators.
- \$2.1 million is allocated toward the Ex-Parliamentarian defined benefit scheme, marking the first of our 10-year contribution outlays. This represents a \$0.8 million increase from past contributions, a necessary step to maintain the fund's sustainability following the 2023 increase in allowance payout values.

- \$0.5 million is allocated to cover increase personnel salaries for the Naoero Police Force due to expanding mandate.
- \$0.1 million is allocated to the Judiciary for expatriate salaries to fund a new Research Associate to the Chief Justice.
- \$0.1 million is allocated to the Financial Intelligence Unit to host the Pacific Financial Intelligence Community Plenary (PFICP) next year. Hosting this event strengthens our regional partnerships and reinforces Nauru's commitment to upholding robust financial integrity standards across the Pacific.
- \$0.4 million is provided to establish a Consulate Office of Nauru in Guangzhou, China. This recognizes the significant trade flows between our nations and the strategic need for a local presence.

Conclusion

Mr. Speaker, the window of opportunity before our nation is vast, but it is not infinite.

The 2026–2027 Budget is a highly strategic deployment of capital. This era of fiscal stability is being deliberately utilized to build resilient infrastructure, modernize our institutions, and empower our citizens.

By acting with the discipline and foresight this precise moment requires, the legacy of this Government will be a Naoero that is self-reliant, highly productive, and unequivocally ready for the future.

Mr. Speaker, I commend the Appropriation Bill 2026–2027 to the House.